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Good morning, Pro Briefers!

In 2024 and 2025, AI sent Nvidia and other chip makers to record highs in a tech boom that Wall Street hasn't experienced in years.

But behind the scenes, AI, data centers, crypto, and other tech are all fueled by one thing: Electricity.

Many of the small-cap companies powering these larger innovations lagged behind the tech giants in 2025, but that could change in 2026.

Why? Data centers and Bitcoin mines need massive amounts of electricity - and the U.S. electrical grid simply can't keep up.

But demand for crypto and AI continues to rise, meaning these small-cap electrification businesses will see bigger profits soon.

That's where we have identified a Broad Market Shift:

The AI revolution is creating a bottleneck in electrical infrastructure, leading to opportunities for small industrial companies that build the physical pieces of our power grid.

Here's why investors may want to pay attention to this shift.

First, while tech giants like Nvidia were in the AI spotlight, the real work was happening behind the scenes.

Every data center needs three critical things:

- Power lines to connect to the grid
- Cooling systems to prevent overheating
- Conduit and cables to wire everything together

These grid builders that provide these basic building blocks for data centers have been largely overlooked by the market - but they're about to become essential.

Why? Unlike the S&P 500, which trades at around 22 times earnings, many of these industrial small-cap companies trade at only 10 to 15 times forward earnings.

That means they're potentially undervalued, even as their order books fill up with AI-related projects.

Plus, there's another factor that could help these companies in 2026: Interest rates.

As the Federal Reserve continues to lower rates, these companies could see their borrowing costs drop, which would increase their profit margins.

The bottom line: The AI boom needs a lot more than just computer chips - it needs a complete overhaul of our electrical infrastructure, which could take years.

And the small-cap companies building that infrastructure may benefit as spending increases in the coming years.

ANALYST REPORT

Tickers we're tracking:

Grid builders: MYR Group (MYRG)

Cooling systems: Modine Manufacturing (MOD)

Physical Infrastructure: Atkore Inc. (ATKR)

GRID BUILDERS

Electrifying AI & More

When a company like Google or Amazon wants to build a massive new data center, they face an immediate problem.

- Google and Amazon are known as hyperscalers - these hyperscalers are investing billions into power solutions for our grid.

However, the existing power grid often can't handle the needed power.

That's because AI data centers can require gigawatt-scale power connections - about the same as what a medium-sized city uses.

High-voltage lines, substations, connections, and more need to be physically built in order to make sure power goes where it needs to.

Enter **MYR Group (MYRG)**, one of the largest independent electrical contractors in the United States.

Transmission & distribution (T&D) revenue



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Data via MYRG's investor presentation

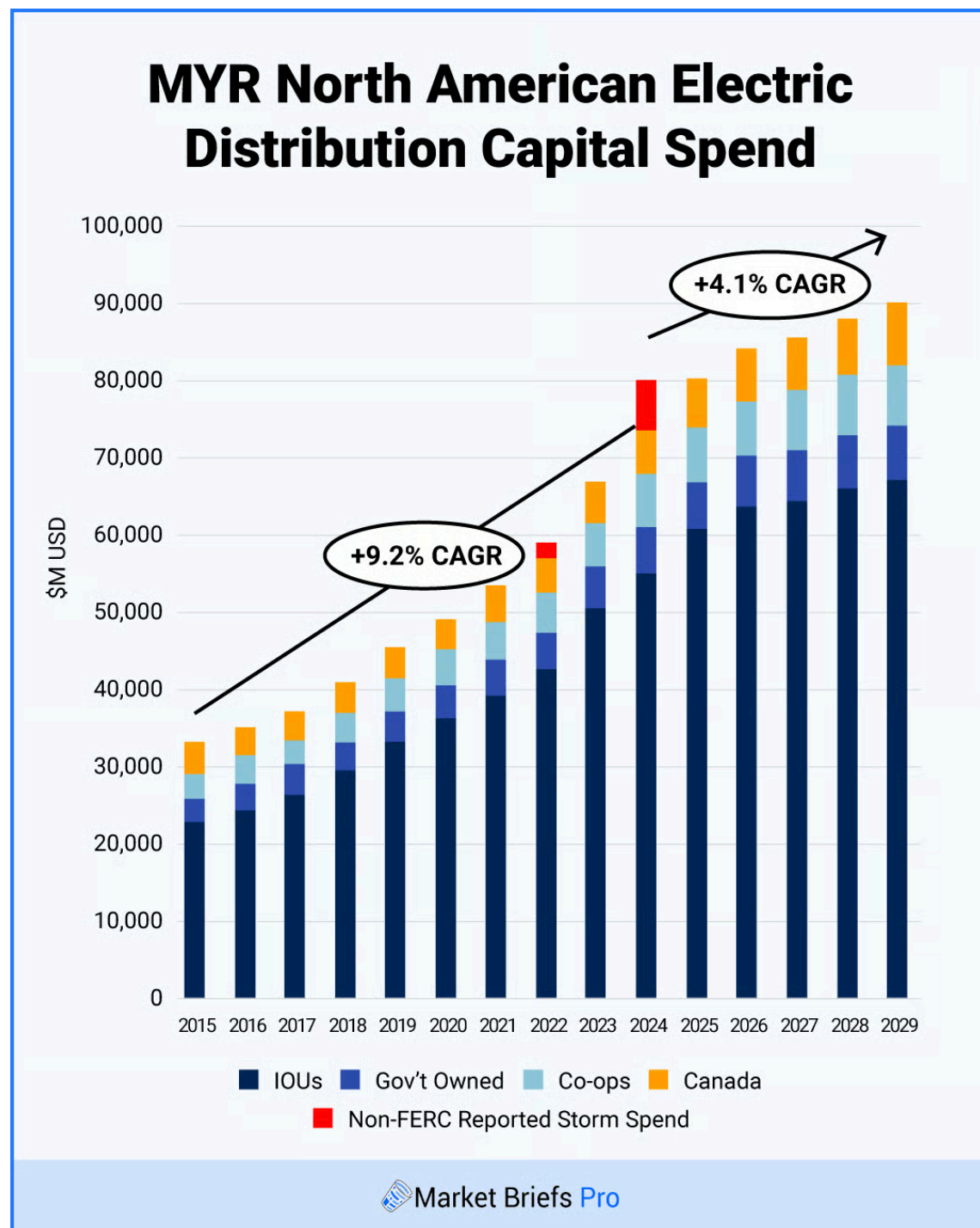
What do they do? MYR specializes in the dangerous, highly skilled work of installing high-voltage transmission lines and building electrical substations.

Think of them as the construction crew that connects the power plant to the data center.

MYR has been around for years, but the AI boom has transformed its business.

Their Commercial & Industrial segment, which handles data center work, has gone from a normal construction business to a mission-critical service.

Why? Because without MYR's work, those AI chips can't even turn on.



Data via MYRG's investor presentation

For investors: The opportunity in MYR comes down to effective timing.

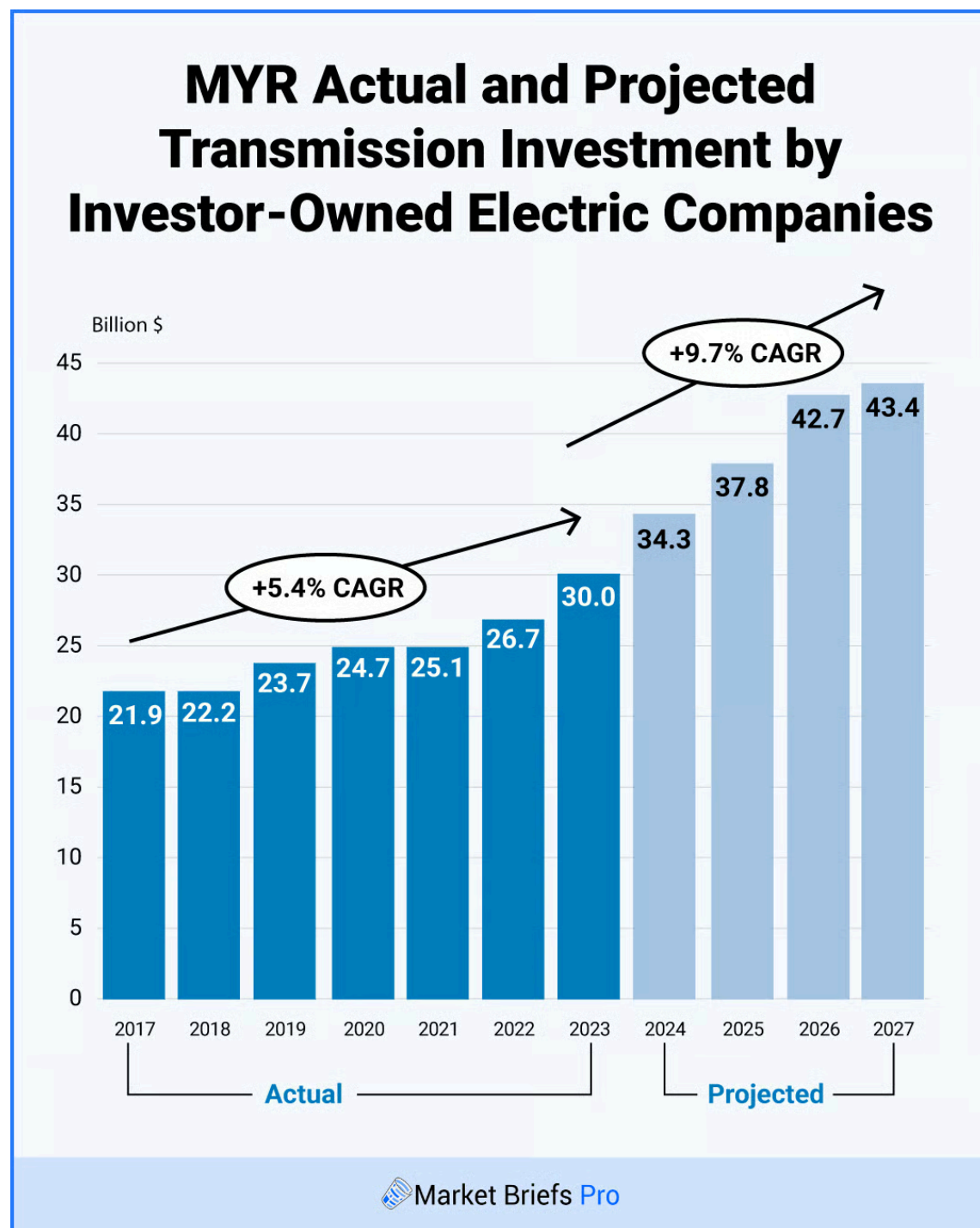
Throughout 2024 and 2025, the company worked through contracts that were signed before prices went up.

- These projects take years to complete - so companies sign deals at today's prices, despite costs rising over time.

That meant lower profit margins on those older projects.

But as of late 2025, most of those lower-margin contracts are finished.

New projects are being priced much higher, with better terms for MYR.



Data [via](#) MYRG's investor presentation

The company expects its profit margins to expand to between 5% and 7.5% in 2026, driven by high-demand data center work.

At the same time, MYR has a near-record backlog of about \$2.66 billion worth of projects already lined up.

- Miscalculations of costs related to labor and materials, or worker strikes may create potential risks to this backlog.

Even still, shares of MYR are up 48% in the last year and 277% over the last five years.



Data [via](#) Yahoo! Finance

Even with that growth, the benefits of data center construction may not be fully reflected in the stock price yet.

Investors may want to watch for announcements of major new contracts from MYR, as this opportunity develops in 2026.

Keeping Our Data Cool

We've covered cooling data centers in previous reports throughout 2025.

The gist is: Without proper cooling, they can't work, which means no AI or cloud computing.

And traditional air conditioning won't work, either.

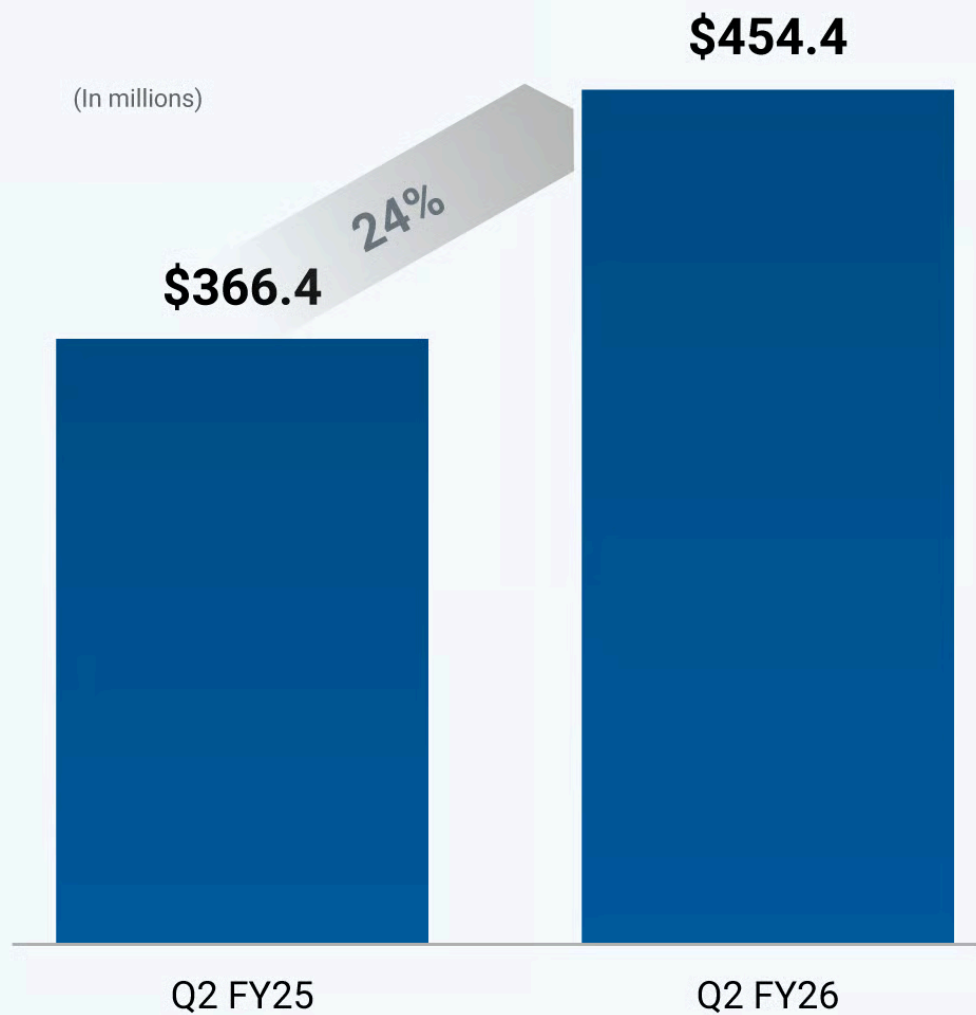
As a result, data centers are increasingly turning to liquid cooling systems to keep their equipment from melting down.

This creates an opportunity for companies that know how to build cooling systems at scale.

Modine Manufacturing (MOD) is one of those companies.

MOD Net Sales

(In millions)



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Data [via](#) Modine's investor presentation

For decades, Modine was known as a boring, but essential, auto parts supplier, making radiators for trucks.

But the company saw the shift coming years ago and made a big bet on data centers.

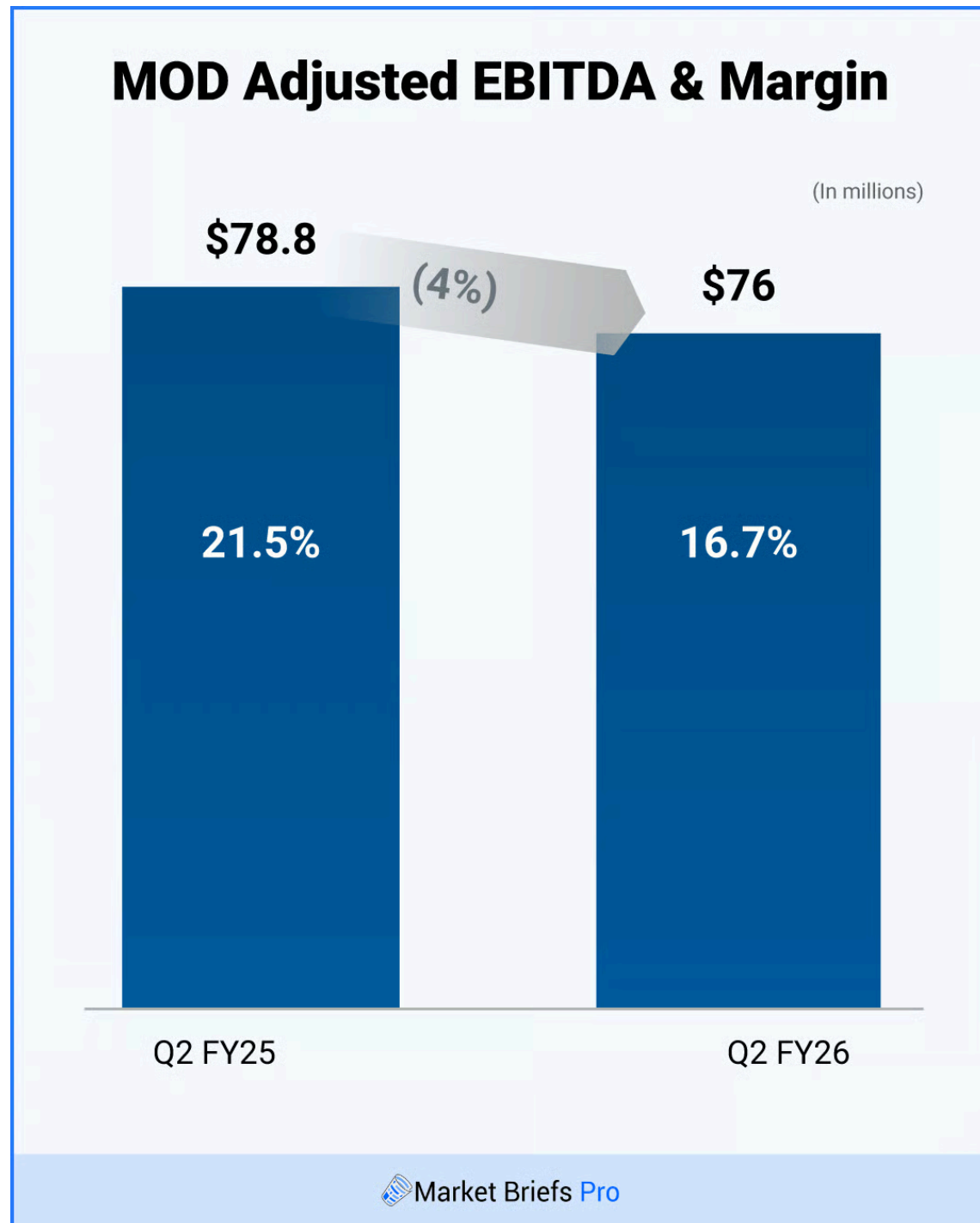
Modine aggressively moved its manufacturing capacity away from auto parts and toward what it calls "Climate Solutions."

And while it still makes auto parts, it is now one of few U.S. firms that can mass-produce the specialized cooling units required for next-generation AI

server racks.

Think of these cooling units like industrial-strength radiators for computers - they pump cold liquid through the equipment to pull heat away.

The challenge for Modine hasn't been finding customers - it's been making enough cooling units to meet demand.



Data via [Modine's investor presentation](#)

To solve this, Modine opened new manufacturing facilities in the United States, the United Kingdom, and India specifically for data center products in late 2025.

These new plants are expected to reach full capacity in early 2026.

As a result, management projects that data center revenue could grow by more than 60% in fiscal 2026.

Shares of Modine are up over 1,000% in the last five years, with an additional 17% gain in 2025.

MOD Q3 2025 Income Statement

(in millions)

	Three months ended September 30		Six months ended September 30	
	2025	2024	2025	2024
Net sales	\$ 738.9	\$ 658.0	\$ 1,421.7	\$ 1,319.5
Cost of sales	574.0	492.4	1,091.4	991.3
Gross profit	164.9	165.6	330.3	328.2
Selling, general & administrative expenses	84.2	85.8	169.1	168.6
Restructuring expenses	3.1	4.5	7.9	9.9
Impairment charge	4.1	-	4.1	-
Operating income	73.5	75.3	149.2	149.7
Interest expense	(8.3)	(7.4)	(14.1)	(14.9)
Other expense - net	(1.5)	(1.5)	(5.7)	(1.8)
Earnings before income taxes	63.7	66.4	129.4	133.0
Provision for income taxes	(18.9)	(20.0)	(32.9)	(38.8)
Net earnings	44.8	46.4	96.5	94.2
Net earnings attributable to noncontrolling interest	(0.4)	(0.3)	(0.9)	(0.8)
Net earnings attributable to Modine	\$ 44.4	\$ 46.1	\$ 95.6	\$ 93.4

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Data via Modine's 10-Q

That kind of massive growth reflects the company's transformation from an auto supplier to a tech infrastructure provider, and how investors now value the stock.

- Auto parts companies typically trade at a price-to-earnings ratio around 8, while industrial tech suppliers commonly trade at ratios above 20.

And, Modine could continue growing alongside the AI and data center boom as its new plants come online, making this a potential opportunity investors will want to watch.



Data [via](#) Yahoo! Finance

Keeping It All Together

There are also data center opportunities that are almost invisible.

Not literally - but there are things behind walls and under floors in every building in America that you never see.

- Think electrical conduit - the pipes that wires run through - along with armored cables and metal framing.

These are essential for all buildings, but particularly for data centers. And as demand for data centers grows, so does the need for these building blocks of infrastructure.

Atkore Inc. (ATKR) specializes in electrical conduits, armored cables, and steel framing.

Whether it's a chip factory in Arizona, a data center in Ohio, or a solar farm in Texas, they all require miles of Atkore's products.

Initial FY 2026 Outlook

Initial FY 2026 Outlook underpinned by anticipated mid-single digit percentage volume growth in FY 2026, driven by expected growth across all key product areas

Outlook Items for Consolidated Atkore	Q1 2026 Outlook	FY 2026 Outlook
Net Sales	\$645M - \$655M	\$3.0B - \$3.1B
Adjusted EBITDA	\$55M - \$65M	\$340M - \$360M
Adjusted Diluted EPS	\$0.55 - \$0.75	\$5.05 - \$5.55
Interest Expense		~\$33M - \$35M
Tax rate		~19% - 23%
Capital Expenditures		\$80M - \$100M

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Data [via](#) Atkore's investor presentation

With such an important role, you might think Atkore is growing in value.

Actually, the opposite happened.

Shares of Atkore have fallen from a high of \$190 to around \$64 within the last two years.

What happened? The prices for PVC plastic and steel, which Atkore uses to make its products, came down from pandemic highs.

That hurt Atkore's profit margins significantly.

So where's the opportunity? This could be a rare entry point for a company with a dominant market share for investors.



Data [via](#) Atkore's investor presentation

After a year of customers working through their existing inventory, 2026 is projected to see demand return to normal growth.

More orders at higher prices = higher profits.

And Atkore's management is responding aggressively to the low stock price.

They're shutting down inefficient plants to cut costs and using their cash to buy back shares.

- In late 2025 alone, Atkore bought back over \$100 million worth of its own stock.

They have a long history of buying back shares to increase shareholder value.



Data [via](#) Yahoo! Finance

This creates what some investors call a "double bottom."

Demand could return just as the number of shares shrinks, which would increase earnings per share (EPS).

- Higher EPS = higher profit per share of stock, making shares more attractive.

Atkore has a dominant position in its market - there are only a few major competitors, and they're all facing similar challenges.

And despite the commodity crash, Atkore's business and financials are still solid.

As prices normalize and margins recover, Atkore's stock may bounce back from its 2025 lows, and create a potential opportunity for investors to profit.

RISKS

How This Shift Could Change

For grid builders like MYR, the biggest risk is what's called the "fixed-price trap."

These companies often sign long-term contracts at a set price.

If costs go up due to inflation - whether wages, materials, or land - those fixed prices lower profits as costs rise.

MYR is working to increase margins after the value of their services went up in recent years, but those old contracts locked them into lower prices.

The next batch of contracts could face similar issues if inflation runs high again or if the value of their services continues to increase.

For cooling system makers like Modine, the risk is execution.

Modine's bottleneck has been manufacturing capacity, and the company made significant investments to scale up production.

But there's no guarantee that it will keep up with data center demand.

If it runs into delays, that will hurt its business and may affect its share price as well.

For conduit makers like Atkore, the risk is commodity prices.

Conduit manufacturers had high profit margins between 2022 and 2024 because material shortages gave them pricing power.

These infrastructure makers could take a hit if prices go lower, instead of rising.

That could happen if a global recession hits - which would complicate profits for these infrastructure makers.

And there's one risk that affects all three: AI demand or data center growth could slow down.

While unlikely, a slowdown is always possible, and could lead to fewer profits for tech companies and these infrastructure builders as well.

Plus, if new forms of energy are discovered, making energy efficiency more attainable, profits for these firms could be limited.

That doesn't appear to be the case in the short term, though - but all of these risks should be on investors' minds nonetheless.

REVIEW

Small-Caps With Big Potential

Blockbuster names like Nvidia have been born out of the AI revolution.

But the real work of building AI infrastructure happens in places most people never see.

The companies' building the basic blocks for data centers and AI have been largely overlooked, even as their order books fill with AI-related projects.

MYR Group connects data centers to the power grid, Modine keeps them cool, and Atkore provides the basic wiring infrastructure they all need.

Unlike the big tech companies that trade at premium valuations, these small industrial firms are trading at discounts right now.

That disconnect may present an opportunity for patient investors who understand that the AI boom needs a lot more than just computer chips.

As interest rates potentially come down in 2026 and these companies work through their backlogs, they may see both earnings growth and valuation expansion.

Simply put: The AI revolution can't happen without a massive upgrade to our physical infrastructure.

And the small-cap companies building that infrastructure may be worth keeping an eye on in the years ahead.



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